

to tolerate a lower yield, and muni yields are, on average, lower than the yields of federally taxable bonds such as Treasuries and corporate bonds. Tax benefits are the distinguishing characteristic of munis, and naturally these benefits are built into their high prices (or low yields).

Ang, Bhansali, and Xing (2012) decompose municipal yield spreads into credit, liquidity, and tax components:

$$\underbrace{\text{Muni} - \text{Tsy}}_{-0.92\%} = \underbrace{\text{Credit Risk}}_{0.01\%} + \underbrace{\text{Illiquidity Risk}}_{1.12\%} + \underbrace{\text{Tax Benefit}}_{-2.05\%} \quad (12.7)$$

As you can see, muni yields take a big hit (−2.05%) as a result of their tax benefit; in effect, muni bond issuers are able to transfer some of their borrowing costs to Uncle Sam, who makes up the difference in the form of a tax giveback. Credit risk is negligible (0.01%). Illiquidity risk is high (1.12%).

Equation (12.7) emphasizes what munis bring to the table versus Treasuries. Overall muni interest rates are influenced by the same factors driving interest rates in general—which we discussed in chapter 9. The fundamental, market-wide forces of economic growth, inflation, monetary policy, and associated risk premiums matter here as well.

But there are other factors affecting munis, so let's examine each in turn.

3.2. ILLIQUIDITY

The muni market is disgustingly inefficient.

Information in the municipal market is dreadful. Contrast an investor obtaining financial reports on a listed company. She can do it for free with a mouse click, in a standardized format going back years, and compare this data with that of other companies. It is hard, and for the most part impossible, to do the same for the town where she lives, or for the school district which educates her children. Or for her county or state. Various organizations, including government and industry groups, have expended great efforts to make information more accessible to muni investors, but information quality, accessibility, and dissemination generally remain poor.¹⁰

From a political standpoint, this is appalling. Taxpayers, after all, have a right to know. Is my school district borrowing money at a rate competitive with the school district across the river? If I can see a leverage ratio for the companies I invest in, why can't I quickly see the leverage ratio for my town?

¹⁰There is no penalty for noncompliance with Governmental Accounting Standards Board (GASB) standards. Only thirty-eight states require state and local government entities to use GASB. Certain states, like Kansas, New Jersey, and Washington, set their own accounting standards and some government entities within those states keep three sets of books: the GASB standard so that they are able to receive a clean GAAP opinion by auditors, the state standard, and their own accounts.